LAW Capsule

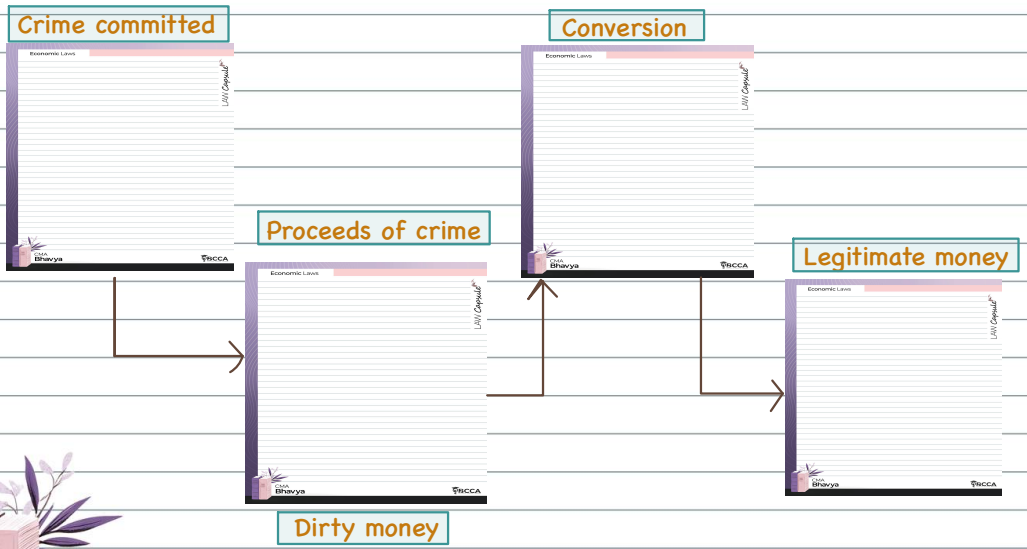
Module 11 - Laws & Regulations related to Anti-Money Laundering

Contents

- Money laundering
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  - Process
- About PMLA, 2002
- Offence
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- Obligations of reporting entity
- Authorities under PMLA and their roles

Meaning

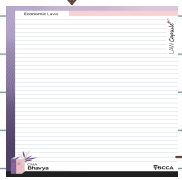
the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate money'



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Process of money laundering

Placement



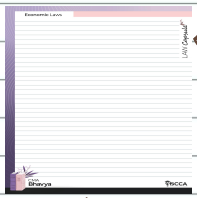
illegal funds introduced into the financial system by breaking up large amounts of cash into smaller, less noticeable sums.



smaller sums are then deposited into a bank account or used to purchase financial instruments, which are subsequently deposited into one or more accounts at different locations.

Layering

launderer moves the funds through a series of continuous conversions or transfers across multiple accounts



This is done to hide the funds origin and distance them from their criminal source.



Funds are invested in real estate, business ventures, and luxury assets

Integration



funds enter the legitimate economy, mixed with legally earned money.



to enjoy the money without fear of detection.

About the PMLA, 2002

Title - The Prevention of Money Laundering Act, 2002
Came into force on - 1st July 2005 (with rules)
Contains - 10 chapters and 75 sections and one schedule

Objects of the Act

a) To prevent and control money laundering.
b) To confiscate and seize the attached property
c) To deal with any other issue connected with money laundering in India.

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Offence under PMLA, 2002

Whosoever directly or indirectly

attempts to **or** is actually

involved in any process connected with the proceeds of crime

concealment or possession or acquisition or use or claiming as untainted property

shall be guilty of offence of money-laundering.

Types of offences — listed in Schedule of the Act

Part A

- Narcotic Drugs and Psychotropic Substances, 1985
- Explosive Substances Act, 1908
- Unlawful Activities (Prevention) Act, 1967, etc.

Part B

and value involved is more than or equal to ₹ 1 crore

Part C

Trans border crimes

Punishment

Imprisonment & Fine & Confiscation of property made out of proceeds of crime

All cases – Minimum 3 years, Maximum 7 years

Part A Paragraph 2 – Minimum 3 years, Maximum 10 years

Narcotic Drugs and Psychotropic Substances, 1985

Scheduled offences → pre requisite for initiating investigation → Predicate offences

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Hierarchy of Authorities Involved in Money Laundering Cases

From detection to prosecution

Reporting entity — Bank, financial institution, intermediaries

Reports suspicious financial transactions to

Financial intelligence unit (FIU-IND)

- Set up by the government of India in
  - November 2004
- central national agency responsible for receiving, processing, analyzing and disseminating information relating to suspect financial transactions to

Enforcement directorate — responsible for enforcement of the FEMA, 1999 and certain provisions under the PMLA, 2002

PMLA empowers ED officers to investigate & prosecute money laundering cases and attach related properties.

Adjudicating Authority — Central government appoints to exercise the power under the act

decide whether the properties attached by the Enforcement Directorate (ED) are actually involved in money laundering or not.

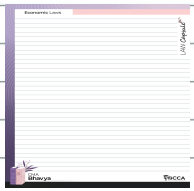
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Appellate Tribunal — established by Central Government



to hear appeals against the orders of the Adjudicating Authority

Special Courts — Central Government designates Special Courts, in consultation with the Chief Justices of High Courts



Any offence under the Act is prosecuted before the Special Court having jurisdiction over the area where the crime was committed.

